

$$n = 15 \quad i = 18\% \quad F = 500,000.$$

$$A = F \left[ \frac{i}{(1+i)^n - 1} \right]$$

$$\therefore A = ₹ 8,201.391$$

Equal payment Series present Worth amount

here our objective to find out  $P$  when  $A$  is given

$$P = A (P/A, i, n)$$

$$P = A \left[ \frac{(1+i)^n - 1}{i (1+i)^n} \right]$$

A company wants to <sup>save</sup> reserve which will help the company to have an annual equivalent amount of ₹ 10 lakh for the next 20 years towards its employee welfare measures. The reserve is assumed to grow at the rate of 15% annually. Find the single payment that must be made now if the reserve amount.